and when all else failed sometimes one took resort to plain old abuse in order to see if that worked.[16] Narahari Rao did ultimately make some kind of reply but it was not strong enough.

Nehru says that he had also been insisting on a guarantee against the devaluation of sterling because devaluation would mean the writing off of these debts as clearly as any formal writing off would have meant. But no one among Nehru's seniors had the gumption to ask for an exchange guarantee for sterling and it was left to Nehru himself to raise the issue with Cobbold. Cobbold said that the Bank of England could never even contemplate such a guarantee. Nehru observed, 'Sterling was sterling; there was no question of its value being judged in terms of any other currency! The IMF, in short, be damned!'[17]

It was finally agreed that the existing arrangements would continue on the understanding that an early settlement would be reached providing for a ceiling on withdrawals for current expenditure, the regulation of capital transfers, and other related matters. The British acknowledged the sacrifices made by India and further agreed that no question would be raised as to the prices charged for war supplies. Also, there was no suggestion that the Financial Settlement had been inequitable to either UK or India.

The next round of negotiation took place from July 6 to July 25, 1947, in London. Narhari Rao led the Indian delegation, and once again, the opposite side was led by Sir Wilfred Eady. The other members of the delegation were B.K. Nehru, Keith Roy, and H.D. Cayley, Deputy Controller of Exchange at the RBI. Nehru has an interesting tale about how Narahari Rao, or Nuri Pasha as they called him, came to head the delegation. Partition had been accepted and a Partition secretariat had been set up under H.M. Patel, the Defence Secretary and the *de facto* Cabinet Secretary. Patel used to complain bitterly about the obstruction caused by Narahari in his Partition work. Narahari resented the fact that Patel, who was considerably junior to him, had been entrusted with the overall work of the Partition and was taking his revenge by throwing a spanner in the works whenever possible. On Nehru's suggestion Narahari was neutralized by taking him to London as leader of the Indian delegation leaving Patel to complete his work in peace. Nehru also narrates that Narahari knew absolutely nothing about the sterling balances in spite of having led the earlier delegation. 'One day after three weeks of negotiations in London, he